

CORPORATE GOVERNANCE REPORT

COMPLIANCE WITH CORPORATE GOVERNANCE REGULATIONS AS LAID DOWN IN CLAUSE 49 OF THE LISTING AGREEMENT

I BOARD OF DIRECTORS

As on March 31, 2005 the Company's Board comprises of three non-executive and independent directors, Mr. K.V. Aiyappan, Mr. M. G. Ved and Mr. Satish Menon. The Board has a Non-Executive Chairman, Mr. K.V. Aiyappan.

None of the independent Directors has any pecuniary relationship or transaction vis-à-vis the Company except receiving sitting fees for Board and Audit Committee meetings.

However, the Company has obtained Central Government's permission and paid remuneration to Mr. M. G. Ved @ Rs.2 lacs per annum w.e.f. January 29, 2004 for a period of one year.

The Company is currently in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. M.G. Ved for a period of three years effective January 29, 2005 with proposed annual increase of 25% per annum.

The Company is also in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with proposed annual increase of 25% per annum.

The said permissions in both cases are awaited

II AUDIT COMMITTEE

A qualified audit committee has been set up. All the members of the audit committee are non-executive and independent directors of the Board.

The Chairman of the Committee, Mr. K.V. Aiyappan is a banker with more than twenty years of experience. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. M. G. Ved, member of the Committee is a practising Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He has vast experience in the fields of auditing, finance, accounts & taxation.

Mr. Satish Menon, member of the Committee, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions.

The Company Secretary, who is secretary to the Committee, was present at all the meetings.

Necessary powers are vested with the audit committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the audit committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

The Company has constituted the Audit Committee pursuant to the provisions of the Companies Act and has all such additional features / functions as contained in the listing agreement.

III REMUNERATION OF DIRECTORS

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Company's shareholders in their extraordinary general meeting held on September 29, 2003 have approved payment

of sitting fees to independent directors @Rs.5,000/- per director for attending each Board meeting and Audit Committee meeting. Presently, Mr. K.V. Aiyappan, Mr. M. G. Ved and Mr. Satish Menon, independent directors, receive sitting fees for attending board and audit committee meetings @ Rs.5,000/- per meeting per director.

The Company is currently in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. M.G. Ved for a period of three years effective January 29, 2005 with proposed annual increase of 25% per annum.

The Company is also in the process of obtaining shareholders' and Central Government's permissions for payment of remuneration of Rs. 2 lacs per annum to Mr. Satish Menon for a period of three years effective February 28, 2005 with proposed annual increase of 25% per annum.

The said permissions in both cases are awaited.

IV BOARD PROCEDURE

Four Board meetings were held during the year ended March 31, 2005. The Board meetings were held on June 28, 2004, July 30, 2004, October 28, 2004 and January 21, 2005. All the information to be provided to the Board in Annexure-1 of clause 49 of the listing agreement was made available to the Board.

The Company has a mandatory annual requirement for every director to inform the Company about the Board/Committee member positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 Committees or is the Chairman of more than 5 Committees across all companies in which he is a director.

V MANAGEMENT

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the management had personal interest that had a potential conflict with the interest of the Company at large.

VI SHAREHOLDERS

The Company informs the shareholders, on appointment or re-appointment of a Director and provides a brief resume of the Director, expertise and names of companies in which the person also holds the directorship and the membership of Committees of the board.

During the year, all quarterly results were sent to the stock exchange where the Company's equity shares are listed and put on the company's website (www.mindteck.com).

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Chairman of the Committee is Mr. K. V. Aiyappan, who is a non-executive independent Director. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee in its meetings.

VII REPORT ON CORPORATE GOVERNANCE

A detailed compliance report on Corporate Governance as prescribed in Annexure-2 of the listing agreement has been furnished below.

VIII COMPLIANCE

An auditor's Certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is attached in this annual report.

COMPLIANCE REPORT ON CORPORATE GOVERNANCE AS PRESCRIBED IN ANNEXURE-2 OF THE LISTING AGREEMENT

1. A BRIEF STATEMENT ON COMPANY'S PHILOSOPHY ON CODE OF GOVERNANCE

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems driven style of functioning. It is the Company's objective to apply corporate governance to its employees, shareholders, customers, etc.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

2. BOARD OF DIRECTORS

Composition and category of Directors			
Sr. No.	Name	Designation	Category
1	Mr. K. V. Aiyappan @	Chairman	Independent, non-executive Chairman
2	Mr. M. G. Ved	Director	Independent, non-executive Director
3	Mr. Satish Menon #	Director	Independent, non-executive Director
4	Mr. R. Viswanathan *	Director	Representing Promoters, non-executive Director
5	Mr. Hemant S. Sonawala**	Director	Independent, non-executive Chairman
6	Mr. Ram S. Ramanathan***	Director	Independent, non-executive Director

Attendance of Directors at Board Meetings and AGM held during year ended March 31, 2005					
Names of Directors	Board Meeting Dates				AGM Date
	June 28, 2004	July 30, 2004	October 28, 2004	January 21, 2005	August 6, 2004
K. V. Aiyappan @	Present	Present	Present	Present	Absent
M. G. Ved	Present	Present	Present	Present	Present
Satish Menon #	N.A.	N.A.	N.A.	N.A.	N.A.
R. Viswanathan *	N.A.	N.A.	N.A.	N.A.	N.A.
H. S. Sonawala **	Present	Present	Present	N.A.	Present
R.S.Ramanathan ***	Present	Present	Present	Present	Present

@ appointed w.e.f. 14.6.2004

appointed w.e.f. 28.2.2005

* resigned w.e.f. 15.6.2004

** resigned w.e.f. 28.10.2004

*** appointed w.e.f. 14.6.2004 and resigned w.e.f. 28.2.2005

Memberships on Committees			
Name of Director	Number of Boards on which member	Number of Board Committees on which member	Number of Board Committees on which Chairperson
K. V. Aiyappan	11	Nil	2
M. G. Ved	3	2	Nil
Satish Menon	1	2	Nil

Four Board meetings were held during the year ended March 31, 2005. The Board meetings were held on June 28, 2004, July 30, 2004, October 28, 2004 and January 21, 2005.

3. AUDIT COMMITTEE

The Company's Board of Directors constituted the Audit Committee in January 2001. The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Composition of Audit Committee			
Sr. No.	Name	Designation	Category
1	K. V. Aiyappan @	Chairman	Independent, non-executive Chairman
2	M. G. Ved	Director	Independent, non-executive member
3	Mr. Satish Menon #	Director	Independent, non-executive member
4	Mr. R. Viswanathan *	Director	Representing Promoters, non-executive member
5	Mr. Hemant S. Sonawala**	Director	Independent, non-executive Chairman
6	Mr. Ram S. Ramanathan***	Director	Independent, non-executive member and Chairman

@ appointed as a member w.e.f. 28.6.2004

appointed as a member w.e.f. 28.2.2005

* ceased to be a member w.e.f. 15.6.2004

** ceased to be a member w.e.f. 28.6.2004

*** appointed as a member w.e.f. 14.6.2004, appointed as Chairman w.e.f. 28.6.2004 and ceased to be Chairman w.e.f. 28.2.2005

Attendance of Directors at Audit Committee Meetings held during year ended March 31, 2005				
Names of Directors	June 28, 2004	July 30, 2004	October 28, 2004	January 21, 2005
K. V. Aiyappan	Present	Present	Present	Present
M. G. Ved	Present	Present	Present	Present
Satish Menon	N.A.	N.A.	N.A.	N.A.
R.Viswanathan	N.A.	N.A.	N.A.	N.A.
H. S. Sonawala	Present	Present	Present	N.A.
R.S.Ramanathan	Present	Present	Present	Present

4. SHAREHOLDERS/INVESTORS GRIEVANCE COMMITTEE

a) Name of non-executive director heading the Committee: K. V. Aiyappan

b) Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2004	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2005
No. of Investor issues	0	13	13	0
No. of legal cases	0	0	0	0

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, Mondkar Computers Pvt. Ltd., processes shares sent for transfer, transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

5. GENERAL BODY MEETINGS

Location and time of last three AGMs held		
Date of AGM	Time of AGM	Location
6-Aug-04	4.00 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Mar-04	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026
15-Nov-02	4.30 p.m.	The Cultural Centre of Russia, 31-A, Dr. G. Deshmukh Marg, (Pedder Road), Mumbai – 400 026

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2005.

6. DISCLOSURES

There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

No penalties were imposed on the Company by stock exchanges or SEBI or any other statutory authority on any matter related to capital market during the last three years.

7. MEANS OF COMMUNICATION

The half-yearly results were put up on the Company's web site (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Free Press Journal and Nav Shakti. The Company's web site also displays official news releases. A Management Discussion and Analysis report has been included in the annual report.

8. GENERAL SHAREHOLDER INFORMATION

Please refer section on Shareholder's information in this annual report.